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**THE YEAR IS** 2020. The start-up ecosystem is growing like never before. Indian founders are dishing out stories of their start-ups over gourmet food and cocktails at fancy hotels, to the country's- and the world's top investors. The stories are garnished with two ingredients—the proliferation of internet connectivity in India, and the potential of this digital revolution.

The result? Everyone is enamoured. Investors are happily lapping up the stories. Cheques get signed in a matter of days, and valuations become veritable jumping jacks. Everyone is happy to be a part of the next great Indian unicorn and start-up story. Funding deals reach their peak in 2021.

Cut to 2023. Many start-ups and their founders—once billed as the flag bearers of India's start-up growth story—are either mired in controversy, under the scanner for corporate governance lapses, laying off staff, or worse. “We cannot function like this. We have to grow sustainably,” is what is being heard across boardrooms today.

A prime example is edtech major BYJU'S, which was once hailed for achieving a valuation of \$22 billion in 2022. But today, it is get-

ting panned for everything from not complying with local laws, not releasing its financial results, and engaging in aggressive sales tactics, among other things. Not only that, many of its marquee investors have marked down its valuation by more than half from \$22 billion on their books; do note that these are not a result of any down round.

Other names that have joined the mark-down party include hotel-room booking platform OYO, ride-hailing service Ola Cabs, food delivery app Swiggy, medtech start-up PharmEasy and fintech services provider Pine Labs, among others. All these firms were once widely celebrated for becoming unicorns (start-ups with a valuation of \$1 billion or more) and decacorns (valued above \$10 billion), not too long ago.

But now, compared to the dream run start-ups were on in 2021, 2023 seems like a house on fire whose flames can singe any start-up that is not careful.

That raises a fundamental question: Is the era of unicorns over? More importantly, have start-ups realised the pitfalls of chasing valuations?

But first, a low-down on how investors and founders arrive at valuations. Most experts agree it is as

## IN A TIGHT SPOT

▶ **IN THE PAST FEW MONTHS, THE VALUATIONS OF MANY ICONIC START-UPS, INCLUDING BYJU'S, OLA CABS, OYO AND MANY OTHERS, HAVE BEEN SLASHED**

▶ **EXPERTS FEEL THAT THE REASON VALUATIONS ARE DOWN IS THAT START-UPS ARE UNABLE TO RAISE FUNDS AT THEIR CURRENT VALUATION**

▶ **IN ADDITION, IF THERE ARE DOWN ROUNDS, EXISTING INVESTORS WILL NEED TO INFORM THEIR LPs THAT THE VALUE OF THEIR INVESTMENT HAS DROPPED**

▶ **STAKEHOLDERS BELIEVE REDUCING VALUATIONS HURTS PUBLIC CONFIDENCE IN START-UPS. IT ALSO INDICATES MARKET CORRECTION. THIS ALLOWS LOWER-VALUED NEW INVESTMENTS**

▶ **EXPERTS ADVISE FOUNDERS, BOARD MEMBERS AND INVESTORS TO WORK TOGETHER TO CREATE A PROFITABLE AND SUSTAINABLE START-UP PATH**

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